

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Nvidia reported** a 94% increase in profit and record sales for the fourth quarter, helping ease concerns over a possible artificial-intelligence bubble that rippled through markets in recent months. **A1**
- ◆ **Major U.S. stock indexes** rose, with the S&P 500, Nasdaq and Dow gaining 1.8%, 1.3% and 0.6%, respectively. **B11**
- ◆ **Paramount's streaming** revenue grew in the fourth quarter, but the company, which is pursuing a bid for Warner Bros. Discovery, reported weakness in its TV media segment. **B1**
- ◆ **Samsung released its latest** flagship Galaxy smartphone, saying its artificial-intelligence features were designed for ease of use. **B4**
- ◆ **Hedge fund founder** David Tepper criticized Whirlpool, accusing the appliance maker of destroying shareholder value and calling for sweeping changes. **B1**
- ◆ **Prices for the rights to** tariff refunds bought from businesses before the Supreme Court tossed Trump's levies soared after the ruling was handed down. **B1**
- ◆ **Lowe's expects** a flat home-improvement market this year, siding with Home Depot's view that cautious consumers are putting off remodeling and repair projects. **B1**
- ◆ **The Washington Post** lost more than \$100 million last year, according to people with the matter, financial troubles that contributed to the decision to cut staff by 30% earlier this month. **B4**
- ◆ **Owens Corning's loss** widened in the fourth quarter as sales sank. **B3**

Worldwide

- ◆ **Iran's atomic program** hasn't advanced significantly since the U.S. and Israel struck its three main nuclear sites in June, experts and diplomats said, despite Washington's top negotiator saying Tehran could make fissile material for a bomb within days. **A1**
- ◆ **The Justice Department** said it is reviewing whether it improperly withheld some Epstein files, including FBI notes that detail unverified allegations made by a woman against Trump. **A6**
- ◆ **Former Harvard** President Larry Summers is resigning from his teaching and leadership positions at the university in the latest fallout from his association with Jeffrey Epstein. **A6**
- ◆ **The Trump administration** told Congress it won't share with lawmakers the classified intelligence that led to a whistleblower complaint against spy chief Tulsi Gabbard. **A3**
- ◆ **Trump's nominee** for surgeon general aligned herself with the administration's moves on vaccines, including shrinking the number of recommended vaccines for children. **A3**
- ◆ **Four people on a U.S.-registered** speedboat were shot and killed and six were injured after being intercepted in Cuban waters in an alleged infiltration attempt, Cuba said. **A7**
- ◆ **The Trump administration** is pausing nearly \$260 million in Medicaid funding to Minnesota, calling it a way to push the state to better account for how government funds are distributed. **A3**
- ◆ **Died: Sondra Lee, 97,** dancer, actor and teacher. **A2**

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A huge billboard on a street in Tehran on Wednesday warned the U.S. against attacking Iran, as tensions continue to build.

Iran Nuclear Enrichment on Hold, Experts Say, Amid U.S. Buildup

Researchers counter White House claims, say June airstrikes halted much progress

By MICHAEL R. GORDON
AND LAURENCE NORMAN

Iran's atomic program hasn't advanced significantly since the U.S. and Israel struck its three main nuclear sites last June, according to experts and diplomats, despite Washington's top negotiator saying Tehran could make fissile material for a bomb within days.

The appraisal, which is widely accepted by officials and researchers who study

Iran's nuclear activities, comes as U.S. and Iranian officials prepare to hold talks on Thursday that could determine whether President Trump orders military action.

The lack of visible evidence of significant progress in Iran's nuclear ambitions since last year raises questions about the Trump administration's publicly stated rationale for launching a potentially major war in the Middle East. Trump has said he would prefer a deal but is prepared to use force to ensure Iran never acquires a nuclear weapon.

"Viewing the satellite imagery and monitoring the Iranian nuclear sites, we don't see any evidence that they are

trying to reconstitute their nuclear-weapons program," said David Albright, a former United Nations weapons inspector and president of the Institute for Science and International Security, which analyses nuclear issues. "They are essentially on hold."

Steve Witkoff, the U.S.'s chief negotiator with Iran, told Fox News last week that Iran is "probably a week away from having industrial-grade bomb-making material."

That assessment would imply that a significant part of Iran's uranium-enrichment capability survived last year's strikes—and that Iran can also still access some of its enriched-uranium stockpiles,

which were believed to have been buried under rubble last June. Many analysts are skeptical that Iran could easily do so at the bombed facilities.

In his State of the Union address on Tuesday, Trump said Iran was still pursuing its nuclear ambitions, but didn't detail any new activities.

The White House said last year's strikes "obliterated" Iran's nuclear facilities but that Trump wants to ensure it can't revive its program and threaten the U.S.

Trump has demanded that Iran also curb its ballistic-missile program.

◆ U.S. sends combat jets to Israel for first time..... A8

Blue Owl Fallout Sparks Anxiety As Investors' Advisers Urge Calm

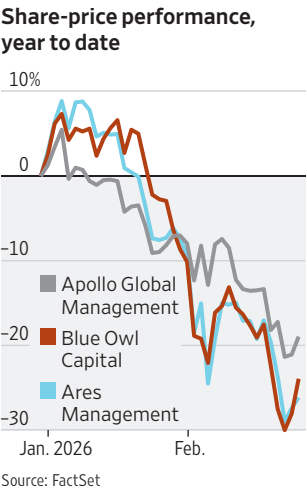
By MIRIAM GOTTFRIED
AND GUNJAN BANERJI

Robert Hendricks immediately emailed his wealth adviser after seeing posts on X saying Blue Owl Capital was halting redemptions in one of its private-credit funds.

His adviser told him he was invested in a different Blue Owl fund and that the fears around headlines were overblown. He plans to redeem the roughly \$75,000 he has invested anyway.

"The last thing you want to hear as an investor is that the door is closing," said Hendricks, an Ohio resident who first invested in private credit about two years ago.

Hendricks is among the individual investors who piled into private-credit funds in recent years and are now wondering whether they made a mistake. The latest cause for concern: Blue Owl, a private-credit juggernaut, said last week it was selling \$1.4 billion in loans to give money back to



dering whether they made a mistake. The latest cause for concern: Blue Owl, a private-credit juggernaut, said last week it was selling \$1.4 billion in loans to give money back to

investors in certain older funds and ending quarterly redemptions for one of them.

The firm thought the announcement would be viewed positively. Instead, its shares and those of other private-credit lenders slid.

Now the wealth advisers who connect clients with such funds are facing one of their first big tests.

With growth slowing from traditional pension-fund and endowment clients, private-markets giants such as Blue Owl, Apollo Global Management and Blackstone have aggressively courted individual investors from everyday mil-

◆ Heard on the Street: A needed correction..... B12
◆ Benchmarks to put spotlight on private credit..... B12

Wall Street's AI Obsession Starts To Wake the Bears

By GREGORY ZUCKERMAN

AI bears are stirring after a three-year slumber.

An obsession with artificial intelligence powered the stock market to dizzying heights. Now, it is pushing skeptical traders to search for ways to profit from what they feel will be an inevitable shakeout.

One hedge-fund manager is preparing for Nvidia's chip sales to fall. Another has an off-the-books wager against OpenAI, which is privately held. Some are shorting shares of Oracle, one of the tech giants in the race for AI dominance.

Yet others are betting against the mounting debt of big tech companies including

Amazon.com and Alphabet, which are investing as much as \$670 billion this year to build out their AI infrastructure. Bears see this as a safer route than betting against stocks, which are more prone to sudden price spikes that could squeeze their short positions.

"People are more comfortable shorting the hyperscalers now because they're sacrificing their free cash flow," said Michael O'Rourke, chief market strategist at JonesTrading who counts himself among the AI bears. "That's a major shift and a major risk."

The bets come amid rising anxiety around how the AI buildup might ultimately play out.

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The Tax Nerd Who Bet His Life Savings Against DOGE

Alan Cole just needed the government to be the government

By RICHARD RUBIN

WASHINGTON—Alan Cole put his life savings, all \$342,195.63, into a prediction-market wager. He insists he's not really a betting man.

Cole is a 37-year-old tax economist with Ivy League degrees, a mortgage and a young child. Until Elon Musk's Department of Government Efficiency came roaring into the nation's capital last year, he was largely a plain-vanilla investor or, as he puts it, a "normal, conventional Wall Street Journal-reading adult."

But Musk's boasts and his eager fans brought an unusual opportunity into the burgeoning U.S. prediction markets: People willing to bet that the world's richest man would transform and shrink the federal government.

Cole took the opposite position, one he didn't see as a gamble at all. If federal spending in each quarter of 2025 exceeded federal spending in the fourth quarter of 2024, he would win big.

Cole isn't an old Washington hand or even an expert on federal spending. At the right-

leaning Tax Foundation, he lives in the complex world of international corporate taxation. If you want to know about QDMTTs (a real thing) or the DBCFT (don't ask), he's your guy. He posts on X about subpar city snow clearing and various internet memes.

Crucially, he's been around long enough to see politicians' promises collide into reality and to know basic federal-budget math.

The U.S. government has been described as an insurance company with an army.

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INSIDE



PERSONAL JOURNAL
What should you do now if there is unrest at your planned Mexican vacation spot. **A10**



SPORTS
The tiny injury that's taking down some of baseball's top sluggers. **A12**